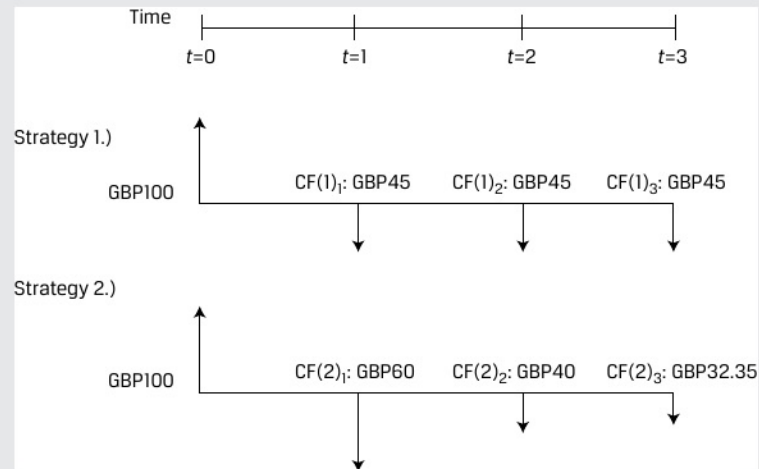


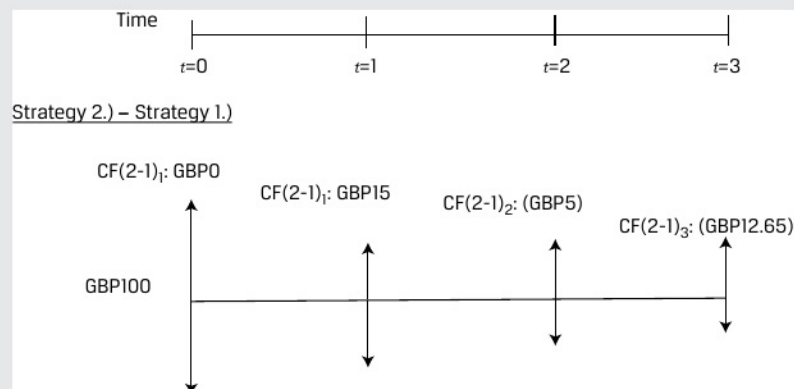
**Exhibit 9: Two Investment Strategies**

Your required return for both investment strategies is 10 percent per time period.

1. Recommend which investment strategy to choose.

**Solution:**

To make a recommendation between these two strategies, we need to establish which one has the higher present value as well as whether either has a positive present value. To accomplish these objectives, we can first compute the present values of both strategies and ensure that at least one has a positive present value in addition to comparing the present values of the two strategies. Alternatively, we can calculate the difference between the cash flows at each time period to effectively create a new set of cash flows. Both solution processes should yield an equivalent numeric result when comparing the two strategies, and this numeric equivalence represents the cash flow additivity principle. Let's first create the set of cash flows from the difference of the two strategies as shown in the diagram:



The present value of these net cash flows is zero, indicating equivalence, as follows:

$$PV = 0 + \frac{15}{1.10} + \frac{-5}{(1.10)^2} + \frac{-12.65}{(1.10)^3} = 0.$$

The conclusion from this analysis is that the two strategies are economically equivalent; therefore you should have no preference for one over the other. We must also determine whether these strategies are economically valuable. To do so, let's calculate the present value of each strategy individually.